

25SMCV03822 25SMCV03822

County: los-angeles

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Case Number: 25SMCV03822 Hearing Date: September 22, 2026 Dept: P

Tentative Ruling

Swamp

Capital, LLC v. Devon Wheeler, et al., Case No. 25SMCV03822

Plaintiff's

Motion for Leave to Amend Complaint

Hearing

Date: September 22, 2026

Background

Plaintiff Swamp Capital, LLC ("Plaintiff")

sues defendants Wheeler ("Wheeler"), Handal, Erba Markets, Inc. ("Erba"), and Los Angeles Wellness Center ("LAWC") (collectively, "Defendants") for breach of contract, breach of fiduciary duty, fraud, and accounting. Plaintiff alleges it owned LAWC's dispensary license and contracted to transfer ownership to defendants Wheeler, Handal and Erba for monthly minimum payments. Plaintiff alleges this agreement was memorialized via a memorandum of understanding (the "MOU"), which defendants breached by failing to make payments. On July 31, 2025, this Court ruled on Plaintiff's ex parte TRO seeking to prevent defendants from exercising control over LAWC. Plaintiff asserted that a TRO was necessary to prevent waste and that defendants incurred tax liabilities due to mismanagement, resulting in a temporary suspension of LAWC's license. The Court denied the ex parte TRO for lack of exigent circumstances and lack of evidence of probability of success on the merits. The Court found that an accounting must occur before a TRO can issue, and as the parties are exchanging financial documents,

Plaintiff may bring a noticed motion for preliminary injunction, if appropriate.

The

Court set an OSC re: preliminary injunction for September 8, 2025, and ordered the parties to provide plaintiff with full and transparent access to LAWC's on site accounting records.

On

September 8, 2025, the Court heard oral argument, but because the Court had not had an opportunity to review Plaintiff's reply papers, the Court continued the matter to September 15, 2025. The Court also gave Wheeler permission to file a sur-reply to address arguments made at the September 8, 2025, hearing. On September 12, 2025, the Court granted a limited preliminary injunction to enforce the MOU but did not grant Plaintiff's request for a preliminary injunction prohibiting misconduct. (Minute Order (09/12/2025), p. 10.)

On

April 22, 2026, the Court denied Wheeler's Motion to Modify Preliminary Injunction.

On

April 30, 2026, Swamp Capital filed an amendment to the complaint naming the City of Los Angeles Department of Cannabis Regulation as a Defendant.

On

June 30, 2026, the City of Los Angeles Department of Cannabis filed a demurrer to the complaint.

On

August 25, 2026, Swamp Capital filed this Motion for Leave to Amend Complaint. As of September 16, 2026, the Court has not received opposition to this motion.

Motion

for Leave to Amend

The trial

court has discretion to allow amendments to pleadings in the furtherance of justice. (Code Civ. Proc. § 473, subd. (a)(1).) "Any judge, at any time before or after commencement of trial, in the furtherance of justice, and upon such

terms as may be proper, may allow the amendment of any pleading.” (Code Civ. Proc. § 576.) “There is a policy of great liberality in permitting amendments to the pleadings at any stage of the proceeding.” (Berman v. Bromberg (1997) 56 Cal.App.4th 936, 945 [citations omitted].) “An application to amend a pleading is addressed to the trial judge’s sound discretion.” (Ibid. [citations omitted].) A judge may deny a motion for leave to amend where a moving party has been dilatory in seeking leave to amend and such delay has prejudiced the opposing party. (Hirsa v. Superior Court (1981) 118 Cal.App.3d 486, 490 (“Hirsa”).) “It is difficult to understand how [a named defendant] can be prejudiced by amendment to add an additional theory of liability against it.” (Ibid.)

“[I]t is an abuse of discretion to deny leave to amend where the opposing party [is] not misled or prejudiced by the amendment.” (Kittredge Sports Co. v. Superior Court (1989) 213 Cal.App.3d 1045, 1048 (“Kittredge”).) Prejudice exists where the amendment would require delaying the trial, resulting in loss of critical evidence, or added costs of preparation. (Solit v. Tokai Bank, Ltd. New York Branch (1999) 68 Cal.App.4th 1435, 1448 (“Solit”).)

A motion

for leave to amend must include a separate declaration specifying: “(1) The effect of the amendment; (2) Why the amendment is necessary and proper; (3) When the facts giving rise to the amended allegations were discovered; and (4) The reasons why the request for amendment was not made earlier.” (Cal. Rules of Court, Rule 3.1324(b).) A motion for leave to amend must “[i]nclude a copy of the proposed amendment or amended pleading, which must be serially numbered to differentiate it from previous pleadings or amendments.” (Cal. Rules of Court, Rule 3.1324(a)(1).) Moreover, a motion to amend must “[s]tate what allegations in the previous pleading are proposed” to be deleted or added, if any, and must set forth the page, paragraph, and line number of such allegations. (Cal. Rules of Court, Rule 3.1324(a)(2)-(3).)

Discussion

Swamp

Capital seeks leave to amend the complaint to allege facts that occurred or were discovered after it filed the original complaint, to substitute DOE defendants, and to add allegations against the City of Los Angeles Department of Cannabis Regulation. Swamp Capital argues that since it filed this action,

Defendants have directed customers to other businesses, instituted unlawful detainer proceedings against Swamp Capital, forcing the dispensary to relocate, and refused to allow Swamp Capital to relocate the dispensary by withholding consent to the City of Los Angeles Department of Cannabis Regulation review of Swamp Capital's permit application for the new location. Swamp Capital also seeks to add claims against the City of Los Angeles Department of Cannabis Regulation for their alleged failure to properly review the permit application without Defendants' consent.

Swamp

submits a declaration and the proposed amended complaint, satisfying the requirements of rule 3.1324. There is no evidence that the proposed amended complaint will cause prejudice. Leave to amend is granted.

Conclusion

Swamp

Capital's Motion for Leave to Amend is GRANTED.

The City

of Los Angeles Department of Cannabis Regulation's Demurrer is moot and off calendar.